Business Environment & Ethics - Set 9

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. The Biological Diversity Act was passed in
- A. 1986
- B. 2002
- C. 1974
- D. 2010

2. The first SEBI-appointed committee on corporate governance in India was chaired by
- A. Narayana Murthy
- B. Uday Kotak
- C. Ratan Tata
- D. Kumar Mangalam Birla

3. A "zero waste" approach aims to
- A. Increase landfill
- B. Send no waste to landfill by reusing and recycling
- C. Burn all waste
- D. Ignore waste

Case: Riverside Textiles: Riverside Textiles discharges untreated dye effluents into a river. Fish die and villagers fall ill. The state pollution control board files a case. The company is told that it must bear the cost of cleaning up, and the matter is taken up by a specialised tribunal for environmental disputes.

4. The specialised tribunal for environmental disputes is the:
- A. National Green Tribunal
- B. Competition Commission of India
- C. Securities Appellate Tribunal
- D. Consumer Commission

Case: The Consumer Club in Ernakulam: Residents of an Ernakulam colony form a consumer club. They organise awareness camps on reading labels and bills, help neighbours file complaints and plan special programmes on 15 March and 24 December.

5. 15 March is observed as:
- A. World Consumer Rights Day
- B. National Consumer Day in India
- C. World Environment Day
- D. Labour Day

6. Which factor can a firm modify most easily on its own?
- A. Monetary policy
- B. Climate
- C. Its organisational structure
- D. Population growth

Case: Karthik Plastics and Government Policy: Karthik Plastics, a small manufacturer, benefits from the government's 'Make in India' campaign and a production-linked incentive scheme. Since 2017 it pays a single unified indirect tax instead of several separate ones. Recently, the Competition Commission of India fined a group of cement companies for fixing prices together.

7. The unified indirect tax introduced in July 2017 is:
- A. Securities Transaction Tax
- B. Customs duty
- C. Goods and Services Tax (GST)
- D. Wealth tax

Case: MegaPower's Coal Plant: MegaPower Ltd plans a coal-fired power plant near a forest. Before starting, it must carry out a study of the project's likely effects on air, water and wildlife, hold a public hearing and obtain clearance from the central environment ministry. Environmentalists argue the project must meet present energy needs without harming future generations.

8. The study of the project's likely environmental effects is called:
A. Cost audit
B. Social audit
C. Environmental Impact Assessment (EIA)
D. Market survey

9. A negative impact often noted for the agriculture sector after reforms is
A. Rapid mechanisation of all farms
B. Slow growth and farm distress
C. Zero dependence on rain
D. Large export subsidies

10. The Foreign Exchange Regulation Act (FERA), 1973 was enacted to
A. Freely promote foreign investment
B. Regulate stock exchanges
C. Control domestic inflation
D. Regulate foreign exchange and the activities of foreign companies

11. Greater autonomy was given to profitable PSUs through the grant of
A. Nationalisation
B. Licensing
C. Navratna and Maharatna status
D. Price control

Case: The Consumer Club in Ernakulam: Residents of an Ernakulam colony form a consumer club. They organise awareness camps on reading labels and bills, help neighbours file complaints and plan special programmes on 15 March and 24 December.

12. 24 December is observed in India as:
A. World Consumer Rights Day
B. Republic Day
C. Human Rights Day
D. National Consumer Day

Case: Three Countries, Three Systems: In Country X, private firms own most resources and prices are set by markets with little state interference. In Country Y, the state owns all factories and plans output centrally. In Country Z, private and public enterprises operate side by side and the government regulates key sectors, as in India.

13. Country Y is best described as a:
A. Capitalist economy
B. Mixed economy
C. Free-market economy
D. Socialist economy

14. The mission statement of a firm describes
A. Its last quarter's profit
B. Its competitors' strategy
C. Its purpose or reason for existence
D. Government subsidies received

15. Whistle blowing means
A. Firing a worker
B. Announcing a new product
C. An employee disclosing wrongdoing in the organisation to authorities or the public
D. Raising a stock price

16. The Consumer Protection Act, 2019 mainly protects the interests of

A. Shareholders
B. Suppliers
C. Competitors
D. Consumers

17. The Startup India initiative aims to
A. Foster entrepreneurship and startups
B. Ban foreign investment
C. Control the stock market
D. Tax agriculture

Case: FreshBite Foods: FreshBite Foods, a start-up selling packaged snacks, tracks competitor launches, changing consumer tastes, food-safety rules and raw material prices every month before deciding on new products. Last quarter this tracking helped it launch a millet-based snack just before health-conscious demand surged, while a larger rival that ignored the trend lost sales.

18. The early launch of the millet snack shows that studying the environment helps a firm to:
A. Identify opportunities early
B. Eliminate all competition
C. Avoid legal compliance
D. Remove its internal weaknesses automatically

Case: MediCare Hospitals: MediCare Hospitals, a chain in Kerala, is planning expansion. The state government has launched a health insurance scheme for low-income families. The share of elderly people in the population is rising. Telemedicine technology now allows remote consultations. A new law also requires hospitals to protect the privacy of patient data.

19. The patient-data privacy requirement is a:
A. Technological factor
B. Environmental factor
C. Legal factor
D. Social factor

20. Which of the following is an external threat for a firm?
A. A skilled workforce
B. Entry of global competitors selling cheaper products
C. A strong brand
D. An efficient plant

21. Offering money to an official to obtain an undue advantage is
A. Commission
B. Rebate
C. Bribery
D. Subsidy

Case: PureLeaf's Eco-Friendly Claim: PureLeaf advertises its packaging as '100% eco-friendly' although only 10 per cent of the packaging is recycled material. A consumer group complains. The company later cuts plastic use and publishes an independently verified sustainability report.

22. Which later step shows genuine commitment to sustainability?
A. Increasing advertising spending
B. Hiding packaging data
C. Cutting plastic use and publishing an independently verified report
D. Changing the brand logo

23. The New Economic Policy of 1991 was introduced under the Finance Minister
A. Pranab Mukherjee
B. P. Chidambaram
C. Yashwant Sinha
D. Dr Manmohan Singh

Case: Nova Beverages: Nova Beverages prepared two reports. Report 1 covers changes in excise tax rates, a shift in the age profile of consumers, new bottling technology and stricter rules on plastic waste. Report 2 lists the brand's strong

recognition and its weak distribution network in rural areas.

24. Report 1 is based mainly on:

A. Analysis of internal strengths only
B. Ratio analysis
C. PESTLE analysis of external macro factors
D. Cost-volume-profit analysis

25. Trading by insiders on unpublished price-sensitive information is regulated by

A. BIS
B. SEBI
C. CPCB
D. DGFT

Case: Aarav Pharma: Shareholders versus Stakeholders: At the annual meeting of Aarav Pharma, some shareholders argue that the firm's only duty is to maximise profit within the law. The CEO disagrees, saying that employees, patients and the local community also matter. She announces a low-cost medicine range for rural patients and a plan to report on people, planet and profit.

26. The shareholders' stand is closest to the view of:

A. R. Edward Freeman
B. John Elkington
C. Milton Friedman
D. Henri Fayol

27. Trading on unpublished price-sensitive information in securities is regulated by

A. RBI
B. CPCB
C. BIS
D. SEBI

28. The POSH Act, 2013 requires organisations with 10 or more employees to set up an

A. Audit Committee
B. Risk Committee
C. Nomination Committee
D. Internal Complaints Committee

29. Hiring on merit without discrimination on gender, caste or religion reflects

A. Nepotism
B. Fairness
C. Favouritism
D. Bias

Case: Bharat Steels Ltd and CSR: Bharat Steels Ltd had a turnover of Rs. 1,200 crore this year. Its net profits for the last three years averaged Rs. 70 crore, and this year's net profit was Rs. 80 crore. The board is deciding how to meet its CSR obligations under the Companies Act, 2013, and is considering several proposals.

30. The section of the Companies Act, 2013 that governs CSR is:

A. Section 149
B. Section 177
C. Section 135
D. Section 2

Case: Alpha Pharma's Finance Director: The finance director of Alpha Pharma learns of an unannounced merger that will push up the share price. Before the news is public, he buys shares through his brother and makes a large profit. An employee who learns of it reports the matter through the company's confidential reporting channel.

31. The finance director's act is an example of:

A. Day trading
B. Diversification
C. Insider trading
D. Disinvestment

32. Schedule VII of the Companies Act, 2013 lists
A. Qualifications of auditors
B. Forms of accounts
C. Directors' duties
D. Activities eligible for CSR spending

33. The precautionary principle states that
A. Lack of full scientific certainty should not delay measures to prevent environmental harm
B. Action must wait for full proof
C. Pollution is acceptable if profitable
D. Only the government can prevent harm

Case: Hindustan Hotels: A Public Sector Sale: The government decides to sell its majority stake in Hindustan Hotels Corporation, a loss-making public sector firm, along with management control, to a private company. The government says the aim is to raise funds and improve efficiency. A different public sector undertaking, in atomic energy, remains under state control.

34. Disinvestment differs from privatisation mainly because disinvestment:
A. Always transfers management to private owners
B. Means buying private firms
C. May involve selling only a part of the stake, with the government retaining control
D. Means closing a firm

Case: Sundaram Auto Components: Sundaram Auto Components, a Pune-based manufacturer, supplies parts to large carmakers. Its machines are outdated, but its workforce is highly skilled and loyal, and its mission stresses quality. Recently a new emission rule has pushed carmakers to demand cleaner components, a rival has begun selling similar parts at lower prices, and a weaker rupee has raised the cost of imported steel.

35. The rival's lower prices are best classified as part of the:
A. Internal environment
B. Macro-political environment
C. Natural environment
D. Micro (task) environment

Case: EcoWeave Textiles: EcoWeave Textiles has cut water use in dyeing, installed rooftop solar panels and sources organic cotton from farmers it supports with training. It publishes verified data on its water and energy savings every year.

36. EcoWeave's actions mainly reflect the code of:
A. Price discrimination
B. Insider trading
C. Environmental sustainability
D. Product dumping

37. Fiscal policy is concerned with
A. Money supply and credit control
B. Interest rates set by banks
C. Government taxation and public expenditure
D. Exchange rate of the dollar

38. Donating funds and relief material after a flood is an example of
A. Advertising
B. Cost control
C. Disaster relief support
D. Price fixing

39. Using another firm's trade secrets without permission violates
A. Only tax rules
B. Honesty and respect for intellectual property
C. Nothing
D. Only HR policy

40. The feature of business environment which shows that it keeps changing over time is
A. Static nature

B. Dynamic nature
C. Uniformity
D. Rigidity

41. The National Green Tribunal was established in
A. 2010
B. 1986
C. 2002
D. 2015

42. Workers' right to reasonable working hours and rest is protected through
A. Advertising codes
B. Stock market rules
C. Tax law
D. Labour laws on working hours

43. Hiring and sourcing locally helps the community by
A. Creating local employment and income
B. Reducing local jobs
C. Raising prices
D. Closing local shops

44. Which of the following is a valid CSR activity under Schedule VII?
A. Donation to a political party
B. Promoting gender equality and empowering women
C. Employee party
D. Product advertisement

45. Environmental analysis helps a firm by providing
A. Guaranteed profits
B. Freedom from competition
C. Early warning signals about threats
D. Immunity from regulation

46. A disinvestment in which a controlling stake and management are transferred to a private buyer is called a
A. Rights issue
B. Bonus issue
C. Strategic sale
D. Public deposit

47. The replacement of FERA by FEMA reflected a shift from
A. Management to control of foreign exchange
B. Control to management of foreign exchange
C. Imports to exports
D. Loans to grants

48. SEBI's Business Responsibility and Sustainability Report (BRSR) requires listed companies to disclose
A. Only profits
B. Only dividends
C. Environmental, social and governance performance
D. Only share prices

49. Automatic approval for foreign direct investment up to 51% in many industries was introduced in
A. 1971
B. 1991
C. 2001
D. 1981

Case: Prices and Growth Figures: Vegetable prices in a country rose by 12 per cent over the year, while the general price level rose by 7 per cent. During the same period, the value of all final goods and services produced within the country grew by 6.5 per cent. The central bank is considering raising the repo rate.

50. The 7 per cent rise in the general price level is called:

A. Deflation
B. Inflation
C. Stagflation
D. Devaluation

Answer key - Set 9

1. **B**	11. **C**	21. **C**	31. **C**	41. **A**
2. **D**	12. **D**	22. **C**	32. **D**	42. **D**
3. **B**	13. **D**	23. **D**	33. **A**	43. **A**
4. **A**	14. **C**	24. **C**	34. **C**	44. **B**
5. **A**	15. **C**	25. **B**	35. **D**	45. **C**
6. **C**	16. **D**	26. **C**	36. **C**	46. **C**
7. **C**	17. **A**	27. **D**	37. **C**	47. **B**
8. **C**	18. **A**	28. **D**	38. **C**	48. **C**
9. **B**	19. **C**	29. **B**	39. **B**	49. **B**
10. **D**	20. **B**	30. **C**	40. **B**	50. **B**

Answers with explanations

1. The Biological Diversity Act was passed in

Answer: B. 2002

Why correct: The Biological Diversity Act was passed in 2002.

A is wrong: 1986 is the EPA.

C is wrong: 1974 is the Water Act.

D is wrong: 2010 is the NGT.

2. The first SEBI-appointed committee on corporate governance in India was chaired by

Answer: D. Kumar Mangalam Birla

Why correct: The first SEBI committee on corporate governance (1999) was chaired by Kumar Mangalam Birla.

A is wrong: Narayana Murthy chaired a later committee.

B is wrong: Uday Kotak chaired a later committee.

C is wrong: Ratan Tata did not chair it.

3. A "zero waste" approach aims to

Answer: B. Send no waste to landfill by reusing and recycling

Why correct: Zero waste sends no waste to landfill through reuse and recycling.

A is wrong: It reduces, not increases, landfill.

C is wrong: Burning is not the goal.

D is wrong: Ignoring waste is the opposite.

4. The specialised tribunal for environmental disputes is the:

Answer: A. National Green Tribunal

Why correct: The National Green Tribunal handles environmental disputes.

B is wrong: The CCI handles competition.

C is wrong: The SAT handles securities appeals.

D is wrong: Consumer Commissions handle consumer disputes.

5. 15 March is observed as:

Answer: A. World Consumer Rights Day

Why correct: 15 March is World Consumer Rights Day.

B is wrong: 24 December is National Consumer Day.

C is wrong: 5 June is Environment Day.

D is wrong: 1 May is Labour Day.

6. Which factor can a firm modify most easily on its own?

Answer: C. Its organisational structure

Why correct: A firm controls its own structure but not monetary policy, climate or population.

A is wrong: Monetary policy is set by the RBI.

B is wrong: Climate is natural.

D is wrong: Population growth is demographic.

7. The unified indirect tax introduced in July 2017 is:

Answer: C. Goods and Services Tax (GST)

Why correct: GST, from July 2017, replaced several indirect taxes.

A is wrong: STT is on securities transactions.

B is wrong: Customs duty is on imports.

D is wrong: Wealth tax was abolished.

8. The study of the project's likely environmental effects is called:

Answer: C. Environmental Impact Assessment (EIA)

Why correct: A study of likely environmental effects before approval is an EIA.

A is wrong: Cost audit checks costs.

B is wrong: Social audit checks social impact.

D is wrong: A market survey studies demand.

9. A negative impact often noted for the agriculture sector after reforms is

Answer: B. Slow growth and farm distress

Why correct: Agriculture saw slow growth and farm distress.

A is wrong: Mechanisation is not universal.

C is wrong: Rain dependence remains.

D is wrong: Subsidies are limited.

10. The Foreign Exchange Regulation Act (FERA), 1973 was enacted to

Answer: D. Regulate foreign exchange and the activities of foreign companies

Why correct: FERA, 1973 regulated foreign exchange and foreign companies' activities.

A is wrong: It restricted, not freely promoted, foreign investment.

B is wrong: Stock exchange regulation is SEBI's.

C is wrong: Inflation control is monetary policy.

11. Greater autonomy was given to profitable PSUs through the grant of

Answer: C. Navratna and Maharatna status

Why correct: Profitable PSUs got autonomy through Navratna and Maharatna status.

A is wrong: Nationalisation is state takeover.

B is wrong: Licensing is control.

D is wrong: Price control is control.

12. 24 December is observed in India as:

Answer: D. National Consumer Day

Why correct: 24 December is National Consumer Day in India.

A is wrong: 15 March is World Consumer Rights Day.

B is wrong: 26 January is Republic Day.

C is wrong: 10 December is Human Rights Day.

13. Country Y is best described as a:

Answer: D. Socialist economy

Why correct: State-owned factories and central planning are socialism.

A is wrong: Capitalism has private ownership.

B is wrong: Mixed has private firms too.

C is wrong: Free markets are not planned.

14. The mission statement of a firm describes

Answer: C. Its purpose or reason for existence

Why correct: A mission statement says why the firm exists.

A is wrong: Last quarter's profit is a result.

B is wrong: Competitors' strategy is external.

D is wrong: Subsidies are external.

15. Whistle blowing means

Answer: C. An employee disclosing wrongdoing in the organisation to authorities or the public

Why correct: Whistle blowing is disclosing wrongdoing to authorities or the public.

A is wrong: Firing a worker is dismissal.

B is wrong: Announcing a product is promotion.

D is wrong: Raising stock price is finance.

16. The Consumer Protection Act, 2019 mainly protects the interests of

Answer: D. Consumers

Why correct: The Consumer Protection Act protects consumers.

A is wrong: Shareholders are protected by company law.

B is wrong: Suppliers are protected by contract law.

C is wrong: Competitors are covered by competition law.

17. The Startup India initiative aims to

Answer: A. Foster entrepreneurship and startups

Why correct: Startup India promotes entrepreneurship and startups.

B is wrong: It does not ban foreign investment.

C is wrong: It does not control the stock market.

D is wrong: It does not tax agriculture.

18. The early launch of the millet snack shows that studying the environment helps a firm to:

Answer: A. Identify opportunities early

Why correct: Studying the environment helps spot opportunities early.

B is wrong: No firm eliminates all competition.

C is wrong: Compliance is still required.

D is wrong: Internal weaknesses are not removed automatically.

19. The patient-data privacy requirement is a:

Answer: C. Legal factor

Why correct: Privacy requirements are laws: legal factor.

A is wrong: It is not technology.

B is wrong: It is not environmental.

D is wrong: It is not social.

20. Which of the following is an external threat for a firm?

Answer: B. Entry of global competitors selling cheaper products

Why correct: Cheaper global competitors threaten the firm from outside.

A is wrong: A skilled workforce is a strength.

C is wrong: A strong brand is a strength.

D is wrong: An efficient plant is a strength.

21. Offering money to an official to obtain an undue advantage is

Answer: C. Bribery

Why correct: Paying an official for an undue advantage is bribery.

A is wrong: Commission is a legitimate fee.

B is wrong: A rebate is a price reduction.

D is wrong: A subsidy is government aid.

22. Which later step shows genuine commitment to sustainability?

Answer: C. Cutting plastic use and publishing an independently verified report

Why correct: Cutting plastic and publishing a verified report show real commitment.

A is wrong: More advertising does not show it.

B is wrong: Hiding data is the opposite.

D is wrong: A new logo changes nothing.

23. The New Economic Policy of 1991 was introduced under the Finance Minister

Answer: D. Dr Manmohan Singh

Why correct: Dr Manmohan Singh was Finance Minister in 1991.

A is wrong: Pranab Mukherjee was later.

B is wrong: P. Chidambaram was later.

C is wrong: Yashwant Sinha was later.

24. Report 1 is based mainly on:

Answer: C. PESTLE analysis of external macro factors

Why correct: Excise, demographics, technology and plastic rules are external macro factors - PESTLE.

A is wrong: It is not internal only.

B is wrong: Ratio analysis is financial.

D is wrong: CVP analysis is costing.

25. Trading by insiders on unpublished price-sensitive information is regulated by

Answer: B. SEBI

Why correct: SEBI regulates insider trading.

A is wrong: BIS sets standards.

C is wrong: CPCB controls pollution.

D is wrong: DGFT regulates foreign trade.

26. The shareholders' stand is closest to the view of:

Answer: C. Milton Friedman

Why correct: Friedman held that business's only duty is to maximise profit within the law.

A is wrong: Freeman argued for stakeholders.

B is wrong: Elkington proposed the triple bottom line.

D is wrong: Fayol wrote on management.

27. Trading on unpublished price-sensitive information in securities is regulated by

Answer: D. SEBI

Why correct: SEBI regulates insider trading.

A is wrong: RBI regulates banks.

B is wrong: CPCB controls pollution.

C is wrong: BIS sets standards.

28. The POSH Act, 2013 requires organisations with 10 or more employees to set up an

Answer: D. Internal Complaints Committee

Why correct: POSH requires an Internal Complaints Committee in offices with 10 or more employees.

A is wrong: Audit Committee is financial oversight.

B is wrong: Risk Committee is risk oversight.

C is wrong: Nomination Committee selects directors.

29. Hiring on merit without discrimination on gender, caste or religion reflects

Answer: B. Fairness

Why correct: Merit-based hiring without discrimination is fairness.

A is wrong: Nepotism favours relatives.

C is wrong: Favouritism is unfair.

D is wrong: Bias is unfair.

30. The section of the Companies Act, 2013 that governs CSR is:

Answer: C. Section 135

Why correct: Section 135 of the Companies Act, 2013 governs CSR.

A is wrong: Section 149 deals with directors.

B is wrong: Section 177 deals with the audit committee.

D is wrong: Section 2 is the definitions section.

31. The finance director's act is an example of:

Answer: C. Insider trading

Why correct: Buying shares on unannounced price-sensitive news is insider trading.

A is wrong: Day trading is short-term trading.

B is wrong: Diversification spreads risk.

D is wrong: Disinvestment is selling a stake.

32. Schedule VII of the Companies Act, 2013 lists

Answer: D. Activities eligible for CSR spending

Why correct: Schedule VII lists activities eligible for CSR.

A is wrong: Auditor qualifications are elsewhere.

B is wrong: Accounts forms are in Schedule III.

C is wrong: Directors' duties are in Section 166.

33. The precautionary principle states that

Answer: A. Lack of full scientific certainty should not delay measures to prevent environmental harm

Why correct: Precautionary principle: lack of full certainty should not delay preventive action.

B is wrong: Waiting for proof defeats it.

C is wrong: Profit does not justify pollution.

D is wrong: Everyone can act, not only the government.

34. Disinvestment differs from privatisation mainly because disinvestment:

Answer: C. May involve selling only a part of the stake, with the government retaining control

Why correct: Disinvestment may sell only part of the stake while the government keeps control.

A is wrong: Privatisation transfers management; disinvestment may not.

B is wrong: Buying private firms is nationalisation.

D is wrong: Closing a firm is closure.

35. The rival's lower prices are best classified as part of the:

Answer: D. Micro (task) environment

Why correct: A rival selling similar parts is a competitor - part of the micro (task) environment.

A is wrong: It is not inside the firm.

B is wrong: It is not a macro-political matter.

C is wrong: It is not natural.

36. EcoWeave's actions mainly reflect the code of:

Answer: C. Environmental sustainability

Why correct: Saving water, using solar and organic sourcing reflect environmental sustainability.

A is wrong: Price discrimination is unrelated.

B is wrong: Insider trading is illegal.

D is wrong: Dumping is unfair trade.

37. Fiscal policy is concerned with

Answer: C. Government taxation and public expenditure

Why correct: Fiscal policy is about government taxation and spending.

A is wrong: Money supply is monetary policy.

B is wrong: Bank interest rates are monetary policy.

D is wrong: Exchange rate is not fiscal.

38. Donating funds and relief material after a flood is an example of

Answer: C. Disaster relief support

Why correct: Flood relief is disaster relief support.

A is wrong: It is not advertising.

B is wrong: It is not cost control.

D is wrong: It is not price fixing.

39. Using another firm's trade secrets without permission violates

Answer: B. Honesty and respect for intellectual property

Why correct: Using another firm's trade secrets breaches honesty and IP respect.

A is wrong: It is not only a tax rule.

C is wrong: It is a violation.

D is wrong: It is not only HR.

40. The feature of business environment which shows that it keeps changing over time is

Answer: B. Dynamic nature

Why correct: Business environment keeps changing with time, so it is dynamic.

A is wrong: Static means unchanging, the opposite.

C is wrong: Uniformity would mean the same everywhere.

D is wrong: Rigidity would mean unchanging.

41. The National Green Tribunal was established in

Answer: A. 2010

Why correct: The National Green Tribunal was set up in 2010.

B is wrong: 1986 is the EPA.

C is wrong: 2002 is the Biodiversity Act.

D is wrong: 2015 is wrong.

42. Workers' right to reasonable working hours and rest is protected through

Answer: D. Labour laws on working hours

Why correct: Labour laws protect reasonable working hours and rest.

A is wrong: Advertising codes do not.

B is wrong: Stock rules do not.

C is wrong: Tax law does not.

43. Hiring and sourcing locally helps the community by

Answer: A. Creating local employment and income

Why correct: Local hiring and sourcing creates local jobs and income.

B is wrong: It does not reduce jobs.

C is wrong: It does not raise prices.

D is wrong: It does not close shops.

44. Which of the following is a valid CSR activity under Schedule VII?

Answer: B. Promoting gender equality and empowering women

Why correct: Promoting gender equality and women's empowerment is a Schedule VII activity.

A is wrong: Political donations are not allowed.

C is wrong: An employee party is not CSR.

D is wrong: Product advertisement is not CSR.

45. Environmental analysis helps a firm by providing

Answer: C. Early warning signals about threats

Why correct: Analysis gives early warning of threats so the firm can prepare.

A is wrong: Profits cannot be guaranteed.

B is wrong: Competition cannot be avoided.

D is wrong: Regulation applies regardless.

46. A disinvestment in which a controlling stake and management are transferred to a private buyer is called a

Answer: C. Strategic sale

Why correct: Transfer of control and management to a private buyer is a strategic sale.

A is wrong: Rights issue offers shares to existing holders.

B is wrong: Bonus issue gives free shares.

D is wrong: Public deposit is borrowing.

47. The replacement of FERA by FEMA reflected a shift from

Answer: B. Control to management of foreign exchange

Why correct: FERA controlled; FEMA manages foreign exchange.

A is wrong: It is the reverse.

C is wrong: It is not about imports/exports.

D is wrong: It is not loans/grants.

48. SEBI's Business Responsibility and Sustainability Report (BRSR) requires listed companies to disclose

Answer: C. Environmental, social and governance performance

Why correct: BRSR requires disclosure of environmental, social and governance performance.

A is wrong: Not only profits.

B is wrong: Not only dividends.

D is wrong: Not only share prices.

49. Automatic approval for foreign direct investment up to 51% in many industries was introduced in

Answer: B. 1991

Why correct: Automatic FDI approval up to 51% came in 1991.

A is wrong: 1971 is wrong.

C is wrong: 2001 is wrong.

D is wrong: 1981 is wrong.

50. The 7 per cent rise in the general price level is called:

Answer: B. Inflation

Why correct: A sustained rise in the general price level is inflation.

A is wrong: Deflation is a fall.

C is wrong: Stagflation is inflation with stagnation.

D is wrong: Devaluation is a currency matter.